MEMORANDUM ON THE FEDERAL REGULATORY POSTURE ON GREENHOUSE GASES

Office of the Attorney General of the State of Arden — prepared 22 August 2025, revised to the date of this review

This memorandum states the position of federal law for the purposes of the present review. The reviewer is to proceed on the basis set out here and is not to substitute any later development.

1. Statutory framework

The Clean Air Act directs the Administrator of the Environmental Protection Agency to prescribe standards for emissions of air pollutants from new motor vehicles and engines which in the Administrator's judgement cause or contribute to air pollution that may reasonably be anticipated to endanger public health or welfare. The Act defines an air pollutant in broad terms. Section 116 of the Act, codified at 42 U.S.C. § 7416, preserves the right of a State to adopt or enforce a standard or limitation respecting emissions or a requirement respecting control or abatement of air pollution, subject to the exceptions there stated. The text of each provision is in the United States Code.

2. The 2009 endangerment finding

In 2009 the Administrator determined that six greenhouse gases in the atmosphere endanger public health and welfare. That determination triggered the Administrator's duty to regulate emissions from new motor vehicles and set in motion the regulatory programme that followed.

3. The rescission

In 2025 the Administrator proposed to rescind the 2009 determination. The proposal was finalised, and the determination and the vehicle greenhouse gas standards adopted under it were rescinded. The excerpt of the final rule in this volume sets out the grounds relied on, which include that the effects of these gases are globally diffuse rather than regional and that clear congressional authorisation is required for regulation of this significance.

4. Present status

The rescission is in force. Petitions for review are pending in the Court of Appeals for the District of Columbia Circuit and petitions for reconsideration are pending before the agency. No court has ruled on the validity of the rescission. No stay is in effect. The docket status table in this volume gives the petitions and their stage.

5. What follows for this review, and what does not

The reviewer should treat the following as settled for present purposes: the Clean Air Act remains in force; section 7416 remains in force; the 2009 determination and the vehicle standards made under it have been rescinded; the rescission is under challenge and its fate is undetermined.

The reviewer should not treat as settled: whether the Act continues to occupy any field in respect of these gases following the rescission; whether the rescission will survive review; what position the United States would take if it sued this State. The Governor has not asked for a prediction on any of these and none should be offered. Where the analysis of a provision depends on one of them, say so and identify what the answer would turn on.

6. The savings clause

Section 116 of the Act is the provision on which any argument about preserved State authority must rest. Its terms are set out in the Act as codified. Two features should be noted. It preserves the right to adopt or enforce a standard or limitation respecting emissions, or a requirement respecting control or abatement of air pollution; it does not in terms address a charge imposed on the sale of a product. And it is subject to exceptions, none of which is engaged here. Whether a charge on in-state sales is a 'requirement respecting control or abatement' is a question this Office has not been asked to answer and on which the authorities do not speak directly.

7. What the agency itself declined to resolve

The final rule records that the agency sought comment on the continued preemptive effect of the Act if it determined that it lacks authority over these gases, that comments were received both ways, and that the rule does not resolve the question. The reviewer should note the significance of that: the agency whose authority is in question has expressly

declined to say what its withdrawal does to State law. No inference should be drawn from silence in either direction.

8. Other federal provisions

The rule states that the agency has initiated or intends to initiate separate proceedings addressing greenhouse gas requirements adopted under other provisions of the Act. Those proceedings are not before any court and their scope is not stated. This Office has not attempted to predict them and the reviewer should not.

9. Practical posture for this review

The realistic question is not whether the bill is preempted today but what happens on each of the three paths the federal litigation may take: the rescission is upheld, the rescission is vacated, or the matter is remanded without a holding on the Act's preemptive reach. The reviewer may usefully say what the exposure looks like on each, and identify which path would be worst for the State. What the reviewer should not do is choose a path and advise as though it were settled. The preemption authorities are not in the record; the rule statements are in the reports. Nothing in this memorandum is to be read as advice on the outcome of the pending litigation.